Fraud Playbook

Fraud Alert Demo Playbook

Purpose

This playbook gives a watsonx Orchestrate demo agent just enough fraud knowledge to interpret an incoming fraud alert, compare it with a compact customer history, and explain the recommended next step.

This is intentionally lightweight for demo purposes. It is not a full fraud operations manual.

What the agent is trying to do

```
The agent should:
- read a fraud alert
- identify what looks suspicious
- compare the alert with recent customer transaction history
- estimate whether the alert is low, medium, or high confidence fraud
- recommend the next action in clear language
```

Common fraud patterns for this demo

1. Impossible travel

This is the primary fraud pattern in this demo.

A card appears in two distant locations within a time window that makes real travel impossible.

```
Typical signals:
- very large distance between transactions
- very small time gap
- extremely high required travel speed
- second country or city not seen in recent history

Example:
- Miami followed by Tokyo 10 minutes later
- Seattle followed by Sydney 5 minutes later

Interpretation:
- this should strongly increase fraud confidence
```

2. Unusual geography

A transaction occurs in a location that is inconsistent with the card's recent history.

```
Typical signals:
- new country
- new city far away from normal activity
- sudden move from domestic activity to international activity

Interpretation:
- this increases confidence, especially when combined with impossible travel
```

3. Unusual amount

The transaction amount is much higher than the customer's recent baseline.

```
Typical signals:
- a purchase much larger than normal recent spend
- a large jump from everyday purchases to luxury or electronics spend

Interpretation:
- this increases confidence but usually should not stand alone
```

4. Unfamiliar merchant pattern

The merchant or merchant type is different from normal customer behavior.

```
Typical signals:
- new merchant name
- new merchant category
- sudden switch from routine categories to luxury or high-value categories

Interpretation:
- this is supporting evidence, not usually the only reason
```

How to use customer history

```
The agent should use compact customer history to form a simple baseline:
- common cities and countries
- recent merchant patterns
- typical amount range
- most recent transactions

The agent should compare the current alert against that baseline and explain:
- what matches normal behavior
- what breaks normal behavior
- why the alert confidence is high, medium, or low
```

Confidence guidance

High confidence fraud Use when several strong signals are present: - impossible travel is present - new country or distant geography -

amount is far above normal - merchant pattern is unfamiliar

Medium confidence suspicious activity Use when some suspicious signals exist but the history is limited or the evidence is mixed: - unusual location but not enough history - unusual amount with no other strong indicators - partial mismatch with normal behavior

Low confidence or likely false positive Use when the history supports the transaction as normal or mostly normal: - same city or country as recent history - familiar merchant or merchant type - amount within normal range - no impossible travel pattern

Recommended response style

```
The agent should respond in short operational language:
- summarize the alert
- mention the key history comparison
- explain why confidence is high, medium, or low
- recommend the next step
```

Example explanation

This alert is high confidence fraud because the card history shows recent activity in Miami, but the new alert shows a purchase in Tokyo only 10 minutes later. The location is not consistent with recent history, the required travel speed is impossible, and the amount is much higher than the previous transaction. Escalate for fraud review.

Demo boundaries

```
For this demo, the agent should:
- avoid acting like a full fraud platform
- avoid making irreversible decisions
- avoid inventing missing context
- prefer a simple explanation over a complex score
```